

Assignment: AcFun vs. Bilibili — A Tale of Two Video Platforms

Instructions: Read the background information below. Then complete **Part A** (research) and **Part B** (analysis). Your analysis must use concepts from **Topics 1.1–1.4**.

Background: Two Platforms, One Origin

AcFun and Bilibili are two Chinese video-sharing websites that both pioneered the **danmaku (弹幕)** comment system — where viewer comments scroll across the screen in real time, creating a shared viewing experience. Both started in the ACG (Anime, Comics, Games) subculture. Both attracted passionate young communities.

Yet today, **Bilibili has over 300 million monthly active users and a market capitalization in the billions**, while **AcFun is a niche platform with a fraction of that audience**, having changed ownership multiple times and nearly shut down.

How did two platforms with nearly identical starting points end up so far apart?

Company Profiles

AcFun (A站)

	Details
Founded	2007
Founder	Xilin (西林), a college student
Original concept	China's first video platform with danmaku (弹幕) comments, modeled after Japan's Niconico
Early community	ACG (Anime, Comics, Games) enthusiasts — China's earliest danmaku users
Key problems	Frequent leadership changes, server crashes, funding shortages, management instability
Major turning point	In 2018, Kuaishou (快手) acquired AcFun to use as a complementary content platform
Current status	Still operating under Kuaishou, but with a much smaller user base; loyal niche community

Bilibili (B站)

	Details
Founded	2009
Founder	Xu Yi (徐逸, username "⑨bishi"), a former AcFun user
Original concept	A more stable alternative to AcFun — same danmaku system, but with better servers and fewer crashes
Early community	ACG enthusiasts who left AcFun due to technical problems
Key milestones	2014: Chen Rui (陈睿) became CEO, brought professional management and investment. 2018: IPO on NASDAQ. 2021: Secondary listing on Hong Kong Stock Exchange.
Major turning point	Expanded from ACG-only to mainstream content (education, science, lifestyle, vlogs, documentaries) while keeping its community culture
Current status	300M+ monthly active users; one of China's top video platforms; diversified revenue (advertising, gaming, e-commerce, live streaming, premium memberships)

Key Events Timeline

Year	AcFun	Bilibili
2007	Founded — China's first danmaku video site	—
2009	Experiencing server crashes and management issues	Founded by Xu Yi as a "more stable AcFun"
2010–2012	Struggles with funding; multiple leadership changes	Growing ACG community; improving technology
2014	Losing users to Bilibili	Chen Rui becomes CEO → professional management, outside investment
2016–2017	Near-shutdown; servers go offline for extended periods	Expanding content categories beyond ACG
2018	Acquired by Kuaishou (快手)	IPO on NASDAQ — raised \$483 million
2019–2020	Operating under Kuaishou with limited resources	Launched premium membership; expanded into e-commerce and education
2021	Small but loyal community; limited growth	Secondary listing on Hong Kong Stock Exchange; 200M+ MAU
2022–present	Niche platform; content focused on ACG and Kuaishou ecosystem	300M+ MAU; mainstream video platform competing with Douyin and iQiyi

Part A — Research (complete before writing your analysis)

Research the following questions using online sources. **Cite your sources.**

1. **Founding stories:** What problem or gap did each founder see? How did Xu Yi's experience as an AcFun user shape his decision to start Bilibili?
2. **Critical decisions:** Identify **two key decisions** made by each company's leadership that significantly affected its trajectory (e.g., decisions about funding, technology, content scope,

community management, ownership).

3. **Current state:** Find recent data on each platform's monthly active users (MAU), revenue sources, and content categories. How do they compare?
4. **Community culture:** What is the "Bilibili exam" (答题测试)? Why did Bilibili require new users to pass a test before joining? How does this relate to community quality?

Part B — Analysis (apply AP concepts from 1.1–1.4)

Answer the following questions **using specific concepts from the course**. Each answer should **name the concept, define it briefly, and apply it to the AcFun/Bilibili case**.

Question 1 — Business and Value (Topic 1.1)

- (a) Both AcFun and Bilibili started by offering the same core product: a video platform with danmaku comments. According to the concept of **value creation**, how did each platform create value for its users? [3 marks]
- (b) Explain how Bilibili achieved **value capture** while AcFun struggled to do so. Use specific evidence from the case. [3 marks]

Key terms to use: value creation, value capture, revenue, profit, product, customer

Question 2 — Markets and Competitive Advantage (Topic 1.2)

- (a) Identify the **target market** that both platforms originally served. How did Bilibili's understanding of this market differ from AcFun's? [3 marks]
- (b) Explain **two sources of competitive advantage** that Bilibili built over AcFun. For each, explain why it was difficult for AcFun to copy. [6 marks]

Key terms to use: competitive advantage, differentiation, barrier to entry, market share, niche strategy, viability

Question 3 — PESTEL Factors (Topic 1.3)

- (a) Identify **two PESTEL factors** (from different categories) that created **opportunities** for Bilibili between 2014 and 2020. Explain how each factor helped Bilibili grow. [4 marks]

(b) Identify **one PESTEL factor** that created a **problem or risk** for AcFun. Explain how this factor contributed to AcFun's decline. [3 marks]

Key terms to use: Political, Economic, Social, Technological, Environmental, Legal; viability; opportunity; risk

Question 4 — How Business Ideas Originate (Topic 1.4)

(a) Bilibili's founding is a clear example of a business idea originating from a **gap**. Describe the gap that Xu Yi identified, and explain why AcFun's own users were the ones who saw it. [3 marks]

(b) Compare the **risk–return tradeoff** faced by each founder:

- Xu Yi (starting Bilibili in 2009 with limited resources)
- AcFun's leadership (accepting Kuaishou's acquisition offer in 2018)

Which decision involved higher risk? Which had higher potential return? Justify your answer. [4 marks]

Key terms to use: gap, opportunity, existing business, risk, return, risk–return tradeoff, viability

Question 5 — The Big Picture (Integrated 1.1–1.4)

(a) Using concepts from **at least three different topics** (1.1, 1.2, 1.3, 1.4), explain **why Bilibili succeeded where AcFun did not**. Your answer should go beyond listing facts — it should show **how the concepts connect**. [8 marks]

(b) Imagine you are an investor in 2018. AcFun is available for acquisition, and Bilibili has just IPO'd. Using the **risk–return framework**, explain which investment you would choose and why. [4 marks]

This question tests your ability to integrate multiple concepts into a connected argument — the same skill the AP FRQ rewards.

Grading Rubric

Criteria	Excellent (A)	Good (B)	Developing (C)	Needs Work (D/F)
Concept application	Correctly names and applies 1.1–1.4 concepts with precision	Names concepts correctly; application is mostly accurate	Names some concepts; application is vague or partially incorrect	Concepts missing or incorrectly applied
Evidence	Uses specific facts from the case to support every claim	Uses some evidence; most claims supported	Limited evidence; claims not well supported	Assertions without evidence
Connected reasoning	Shows how concepts link together (e.g., PESTEL → viability → risk–return)	Some connections between concepts	Concepts listed but not connected	No integration of concepts
Critical thinking	Evaluates both sides; acknowledges complexity; makes a judgement	Some evaluation; mostly one-sided	Descriptive rather than analytical	Purely descriptive; no analysis

Knowledge Points Checklist

Before submitting, verify that your analysis addresses **at least 8** of the following:

#	Topic	Knowledge Point	✓
1	1.1	What is a business? (types of business)	
2	1.1	Value creation — responding to customer problems, needs, or wants	
3	1.1	Value capture — charging more than it costs to produce	
4	1.1	Revenue vs. profit	
5	1.2	Target market and market segmentation	
6	1.2	Competitive advantage — differentiation, cost leadership, niche	
7	1.2	Barriers to entry	
8	1.2	Market share	
9	1.2	Viability — surviving and staying successful over time	
10	1.3	PESTEL factors (identify specific factors from the case)	
11	1.3	How external factors create opportunities or problems	
12	1.4	Gap — an unmet need that a business can address	
13	1.4	Opportunity — a new or better way triggered by change	
14	1.4	Existing business — replication or adaptation of a model	
15	1.4	Risk — the chance that things will not go as planned	
16	1.4	Return — the gain an entrepreneur hopes to earn	
17	1.4	Risk–return tradeoff — higher potential return usually means higher risk	
18	1.4	Matching strengths to opportunities	

Hints

- **Don't just describe what happened** — explain **why** it happened using course concepts.
- **"Because" is your best friend.** Every claim should answer: "This happened BECAUSE of [concept]."
- **The strongest answers connect concepts across topics.** For example: "Bilibili's competitive advantage (1.2) came from identifying a gap (1.4) that AcFun's technical

problems created, and the social trend (1.3) of growing ACG fandom in China made the market viable."

- **There is no single right answer for the investment question (Q5b).** The exam rewards **connected reasoning and a clear judgement**, not the "correct" choice.